

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the	)	Docket No. RM26-4-000
Interstate Transmission System	)	

**REPLY COMMENTS OF
INFRASTRUCTURE MASONS, INC.**

Pursuant to the Federal Energy Regulatory Commission (“FERC” or “Commission”)’s October 27, 2025, *Notice Inviting Comments* in the captioned proceeding,¹ Infrastructure Masons, Inc. (“iMasons”) hereby respectfully submits these reply comments (“Reply Comments”) for the Commission’s consideration, in order to address several initial comments submitted in the captioned proceeding related to the Secretary of Energy’s proposed Advance Notice of Proposed Rulemaking.² iMasons submits these Reply Comments to provide additional input on several key aspects of the ANOPR that will be crucial to safeguarding the country’s economic, national security,³ and scientific interests⁴ as it looks to “win the Artificial Intelligence (‘AI’) race.”⁵ The Reply Comments aim to ensure that the infrastructure necessary to meet rapid

¹ See *Interconnection of Large Loads to the Interstate Transmission System*, Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 27, 2025).

² See *Interconnection of Large Loads to the Interstate Transmission System*, Secretary of Energy’s Proposed Advance Notice of Proposed Rulemaking, Docket No. RM26-4-000 (Oct. 23, 2025) (“ANOPR”).

³ See, e.g., Executive Order 14179, Removing Barriers to American Leadership in Artificial Intelligence, 90 Fed. Reg. 8741, Sec. 2 (Jan. 20, 2025) (“It is the policy of the United States to sustain and enhance America’s global AI dominance in order to promote human flourishing, economic competitiveness, and national security.”); *Winning the Race – America’s AI Action Plan*, Office of the President of the United States, available at: <https://www.whitehouse.gov/wp-content/uploads/2025/07/Americas-AI-Action-Plan.pdf>, at 1 (July 2025) (“Winning the AI race will usher in a new golden age of human flourishing, economic competitiveness, and national security for the American people.”).

⁴ See, e.g., Executive Order 14363, *Launching the Genesis Mission*, 90 Fed. Reg. 55035, Sec. 2 (Nov. 28, 2025), available at: <https://www.federalregister.gov/d/2025-21665/page-55035> (“There is hereby established the Genesis Mission (Mission), a national effort to accelerate the application of AI for transformative scientific discovery focused on pressing national challenges.”).

⁵ See *Winning the Race – America’s AI Action Plan*, Office of the President of the United States, available at: <https://www.whitehouse.gov/wp-content/uploads/2025/07/Americas-AI-Action-Plan.pdf> (July 2025).

demand growth is built efficiently and cost effectively so that ratepayers are not unduly burdened.

I. INTRODUCTION

A. Background on iMasons

iMasons is one of the largest professional associations in the digital-infrastructure industry. Founded in 2016, the organization has scaled globally to more than 6,000 participants, including 4,000 active members, representing projects and infrastructure totaling approximately \$1.5 trillion across 130 countries. iMasons' membership spans the full digital-infrastructure value chain, including:

- Data-center developers and operators;
- Engineering, design, and construction firms;
- Energy and utility partners;
- Fiber and network providers; and
- Hyperscale and cloud-platform organizations

Notably, iMasons' members employ millions of Americans in the data center industry – an industry that supported 4.7 million jobs in the US in 2023,⁶ and which continues to grow. The breadth and depth of iMasons' membership provides it with a comprehensive industry perspective on the power-system impacts associated with rapid, AI-driven load growth. Further, in November 2025, iMasons spearheaded the creation of an industry coalition to provide a unified and holistic perspective on the energy-related needs of the digital infrastructure and data center industry, with a particular focus on supporting continued deployment to meet growing energy demands in the United States. These Reply Comments are one of the initial results of those efforts.

⁶ See *Frequently Asked Questions About the Data Center Industry*, Data Center Coalition, available at: <https://www.datacentercoalition.org/cpages/faq#:~:text=The%20exact%20number%20of%20jobs,in%20the%20U.S.%20in%202023> (last visited Dec. 5, 2025).

Further, given that the data center industry is global, and because AI has the potential to transform the global economy in a way unseen since the Industrial Revolution, iMasons believes that it is imperative for the United States to establish a regulatory framework which allows the data center industry to thrive domestically so that the industry’s economic, national security and scientific benefits are not driven abroad.

B. The Role of Independent Data Center Developers

iMasons’ members include companies responsible for siting, designing, financing, constructing, and operating data centers – the physical infrastructure that enables AI model training and inference, cloud computing, financial market operations, public safety and emergency services systems, and national security and defense-critical applications. Importantly, while the needs of hyperscale end-users often receive the most public attention, it is important to note that the majority of data centers are not directly developed and operated by hyperscale end-users themselves. As iMasons’ 2025 State of the Digital Infrastructure Industry Report⁷ notes, “nearly two-thirds of colocation providers host hyperscale tenants,”⁸ – meaning that hyperscale end-users rely heavily upon independent data center developers and operators for the physical infrastructure that is necessary to meet their eventual needs.

Independent data center developers, rather than hyperscale end-users, are the entities that are primarily engaged in navigating large load interconnection queues, and undertake tasks such as submitting interconnection requests, procuring long-lead equipment, navigating multi-year transmission upgrade timelines, and bearing up-front operational, execution and financial risks associated with interconnecting large loads to the transmission system. Independent data center

⁷ *State of the Digital Infrastructure Industry*, Infrastructure Masons (Annual Report 2025), available at: [State-of-the-Infrastructure-Industry-2025_compressed.pdf](#).

⁸ See *id.* at 17.

developers benefit the data center industry by creating “market-ready” projects that can be made available to a broad spectrum of creditworthy end users. Accordingly, the majority of parties assuming financial, operational and interconnection risks for developing large loads often differ from the ultimate beneficiaries of data center projects that are eventually constructed. iMasons respectfully submits that this distinction is critical for the Commission to consider as it contemplates issuing a final rule related to interconnecting large loads, and associated issues raised in the captioned proceeding.

II. REPLY COMMENTS

A. General Comments on the ANOPR

iMasons generally supports the ANOPR and encourages the Commission to promulgate a final rule that will enable large load customers to interconnect in a more efficient manner while safeguarding reliability and ensuring that all customers’ rates are just and reasonable. The United States’ current large load interconnection landscape consists of a disjointed, state-by-state, and in some instances, utility-by-utility, set of rules and processes that are often opaque and routinely in flux. Indeed, many states and utilities have had to create rules out of whole cloth to address the sudden, and in many instances unprecedented, increased power demands from large load customers, particularly data centers necessary to support the growth of AI. While some states and utilities have put forward workable, efficient and fair rules for interconnecting large loads, in much of the country, the *status quo* for interconnecting large loads entails developers navigating a labyrinth of requirements in order to move projects forward, which in turn, slows project development due to inefficiency and a lack of transparency.

Simply put, maintaining the *status quo* with respect to large load interconnections will prevent the United States from building out data centers at the pace and scale needed to win the

AI race and stay competitive globally, which will undermine the country’s short and long-term economic, national security and scientific interests.⁹ Moreover, the lack of coordination with regard to large load interconnection processes leads to inaccurate load forecasts, resulting in, among other things, the inefficient buildout of generation and transmission to serve load.¹⁰ This stands to ultimately burden ratepayers with unnecessary costs and rates that are unjust and unreasonable.¹¹

To address the foregoing challenges, in addition to more specific recommendations and responses to the ANOPR described below in Sections II.B.i to II.B.vii, iMasons urges the Commission to promulgate a final rule related to large load interconnections that adheres to the following general principles:

- The final rule should establish minimum standards and guidelines for acceptable practices that states and utilities must follow with respect to the interconnection of large loads,¹² while fostering state and federal collaboration and allowing for regional

⁹ See, e.g., E. Howland, *New FERC commissioners say connecting data centers is key priority*, UtilityDive (Nov. 21, 2025), available at: <https://www.utilitydive.com/news/ferc-data-centers-swett-lacerte-ling/806145/> (quoting Chairman Laura Swett’s statement that “[i]n addition to our core mission of keeping the lights on for all Americans at reasonable costs, my priority as chairman is to ensure that our country can connect and power data centers as quickly and as durably as possible” and describing Commissioner David LaCerte’s statements as echoing Swett’s comments and adding that the AI data race requires “bold action” to protect the economy and national security and that “[t]he risks of inaction or delayed action are simply too great”).

¹⁰ See, e.g., Comments of the Electric Power Supply Association, Docket No. RM26-4-000, at 6 (Nov. 21, 2025) (“EPSCA agrees that interconnection procedures and agreements for large loads require a level of standardization to establish certainty and transparency – both of which are sorely lacking today in the opaque and unfilled individual Transmission Owner processes that exacerbate confusion and delay regarding new load connections while furthering uncertainty by establishing load forecasts inflated by speculative projects. A clearer, standardized process (at least for load interconnections to transmission facilities as contemplated by the ANOPR) will enable innovative suppliers and customers to develop arrangements that can move forward to operation reliably and cost effectively.”).

¹¹ See, e.g., *Xcel Energy Servs. Inc. v. FERC*, 815 F.3d 947, 952 (D.C. Cir. 2016) (“It is long-established that the ‘primary aim [of the Federal Power Act] is the protection of consumers from excessive rates and charges.’”) (citing *Mun. Light Bds. of Reading & Wakefield v. FPC*, 450 F.2d 1341, 1348 (D.C. Cir. 1971)).

¹² See, e.g., Comments of Public Interest Organizations, Docket No. RM26-24-000, at 26 (Nov. 21, 2025) (“We agree that FERC could use the standards set in Order No. 2023 and the NERC July 2025 Large Loads Taskforce Whitepaper as a guide to setting load interconnection standards, but reserve comments on this until we see specific proposals. Regions could go above and beyond these minimal standards, but FERC should establish a floor.”) (citation omitted); *Building for the Future Through Electric Regional Transmission Planning and Cost Allocation*,

variation. Further, it is particularly important that the final rule respect existing processes that are underway and that are working to effectively interconnect large loads, and that existing projects being interconnected under such processes not be disrupted.¹³

- The final rule should avoid hindering competition among large load developers, including data centers, and eliminate undue discrimination with respect to their interconnection, so that efficiencies and cost savings are achieved in a manner that will ultimately benefit consumers.¹⁴

- The final rule should promote greater transparency for large load developers.¹⁵

Large load developers should have more information on load interconnection queues,

Order No. 1920, 187 FERC ¶ 61,068, at P 240, *order on reh'g and clarification*, Order No. 1920-A, 189 FERC ¶ 61,126 (2024) (“We acknowledge that certain transmission planning regions already conduct some regional transmission planning on a relatively forward-looking, proactive basis. We do not intend to undermine progress made in these transmission planning regions, and our goal is to set a floor, not a ceiling.”); *Applications for Permits to Site Interstate Electric Transmission Facilities*, Order No. 1977, 187 FERC ¶ 61,069, *order addressing arguments raised on rehearing, and setting aside prior order, in part*, Order 1977-A, 189 FERC ¶ 61,033, at P 37 (2024) (“The Commission’s regulations describe the generally applicable information that permit applications must include. These are *minimum filing requirements* with which each application must comply.”) (emphasis added).

¹³ See Comments of the National Association of Regulatory Utility Commissioners, Docket No. RM26-4-000, at 6-7 (Nov. 21, 2025); Comments of the National Conference of State Legislatures, Docket No. RM26-4-000, at 2-3 (Nov. 21, 2025); Comments of Vantage Data Centers, Docket No. RM26-4-000, at 7 (Nov. 21, 2025). Further, iMasons takes no position on whether the final rule should consist of establishing a *pro forma* tariff, a principles-based rulemaking, or a combination thereof.

¹⁴ See, e.g., *Promoting Wholesale Competition Through Open Access Non-discriminatory Transmission Service by Public Utilities*, Order No. 888, 61 Fed. Reg. 21540, 21541 (May 10, 1996) (“The legal and policy cornerstone of these rules is to remedy undue discrimination in access to the monopoly owned transmission wires that control whether and to whom electricity can be transported in interstate commerce”); *New York v. FERC*, 535 U.S. 1, 35 n.7 (2002) (The purpose of the open access requirement was “to remedy undue discrimination in access to the monopoly owned transmission wires that control whether and to whom electricity can be transported in interstate commerce.”) (Thomas, J., concurring) (citation omitted); *Policy Statement on Mkt. Monitoring Units in Reg'l Transmission Organizations & Indep. Sys. Operators*, 111 FERC ¶ 61,267, 62,205 (2005) (“Good market rules are essential to efficient wholesale markets in which competing suppliers have incentives to meet the customers’ needs for reliable service at the least cost.”); *Building for the Future Through Electric Regional Transmission Planning and Cost Allocation*, Order No. 2023, at P 1510 (2023) (“Order No. 2023”) (acknowledging that an accurate accounting of the technical capabilities of certain resources “ensur[es] just and reasonable rates by avoiding excessive and unnecessary network upgrades that may hinder the timely development of new generating facilities that stifles competition in the wholesale market”).

¹⁵ See Comments of Electricity Customer Alliance, Docket No. RM26-4-000, at 2 (Nov. 21, 2025) (“Electric Customer Alliance Comments”) (“Improving the transparency of transmission rates, cost inputs, and investment decisions, and closing gaps in the review of transmission rates and investment decisions, are key to addressing rising affordability concerns. So too is greater rigor and transparency in the load forecasts driving investment decisions and wholesale energy and capacity market prices.”); *id.* at 4, 13, 19.

should know what rules, timelines and standards govern how load interconnection queues are processed, and should know how their proposed projects are studied.¹⁶ Further, interconnecting utilities should be required to provide large load developers with: 1) sufficient information regarding anticipated state-jurisdictional and FERC-jurisdictional costs that they will be expected to bear, including a clear understanding of how FERC-jurisdictional costs are expected to be reflected in retail rates;¹⁷ and 2) drafts of all relevant agreements that they will need to execute to interconnect their projects. Large load developers should be provided with this information as soon as practicable so that they can make timely and efficient decisions with respect to whether they wish to proceed with a project. In turn, the information will provide for the withdrawal of speculative projects earlier in the interconnection study process, which will result in more efficient – and less clogged – load interconnection queues.¹⁸

- The final rule should clearly define the scopes of federal and state authority with respect to the interconnection of large load customers, both for practical clarity and so

¹⁶ See, e.g., *Related to NPRR1234, Interconnection Requirements for Large Loads and Modeling Standards for Loads 25 MW or Greater*, Public Utility Commission of Texas (approved May 15, 2025), available at: <https://www.ercot.com/mktrules/issues/PGRR115#keydocs> (amendments to market rules in the Electric Reliability Counsel of Texas (ERCOT) creating new process for studying the reliability impacts of all Large Loads seeking to interconnect to the ERCOT system), and requiring, as with the Full Interconnection Study required for proposed Generation Resources, a Large Load Interconnection Study for each new Large Load meeting applicability requirements that is proposed to interconnect to the ERCOT System).

¹⁷ See also Electric Customer Alliance Comments at 4 (“To be sure, however, the exercise of that jurisdiction may have some impacts on retail rate matters subject to the jurisdiction of the states. ECA believes that the Commission must exercise its jurisdiction to addresses current uncertainties holding back solutions to the challenges of serving large load growth and ensuring reliability and affordability, and it can do so in a way that recognizes the need for safeguards to avoid reaching into retail rate regulation.”)

¹⁸ See, e.g., Order No. 2023 at P 47 (“We agree with commenters that the withdrawal of speculative interconnection requests that trigger reassessments and possible restudies by the transmission provider can delay the timing and increase the cost to interconnect for lower-queued interconnection requests.”).

that the final rule is legally durable and not subject to prolonged litigation risks, allowing for efficient implementation, as well as business and regulatory certainty.¹⁹

B. Responses to Specific Aspects of ANOPR

- i. *Deposits and Withdrawal Penalties Should be Properly Tailored to Address Actual Risks Posed by Planned Large Load Facilities to Avoid Deterring Non-Speculative Projects and Unjustly Enriching Transmission Owners*

iMasons supports the Commission promulgating a final rule requiring standardized study deposits, readiness requirements, and withdrawal penalties (or a combination thereof), in order to deter speculative projects and provide transmission owners with useful data necessary to accurately forecast load.²⁰ However, the final rule must ensure that such requirements do not pose unduly discriminatory barriers to large load developers. Deposits and penalties should be fashioned in a manner that mitigates risks and costs that large loads *actually pose* to transmission owners and other customers. Requirements that are disproportionate to the risk and costs that large loads actually pose to transmission owners and other customers do not help protect consumers, and instead, overcompensate utilities and risk stifling the market for data centers in the United States. Further, disproportionate security requirements and penalties for large load

¹⁹ See, e.g., NARUC Comments at 2; Comments of the Data Center Coalition, Docket No. RM26-4-000, at 4 (Nov. 21, 2025); Comments of New England States Committee on Electricity, Docket No. RM26-4-000, 11-12, 14 (Nov. 21, 2025).

²⁰ See ANOPR at P 21; see also, e.g., Comments of Pacific Gas and Electric Company, Docket No. RM26-4-000, at 5-6 (Nov. 21, 2025) (“PG&E Comments”); Comments of Critical Loop, Docket No. RM26-4-000 (Nov. 14, 2025).

customers stand in stark contrast to the Commission’s longstanding cost causation principles²¹ and precedent against excessive penalties.²²

iMasons notes that in July 2025, Energy + Environmental Economics and the Data Center Coalition published a white paper that presented a modern, principles-based framework for credit and collateral policy, which focused on distinguishing between perceived and actual risk, and promoted a balanced, adaptable approach to manage risk effectively without deterring investment.²³ iMasons encourages the Commission to issue a final rule which takes this proposed framework into account when establishing standardized security posting requirements, readiness requirements and withdrawal penalties.

Further, iMasons notes that The AES Corporation (“AES”) utilities’ large load construction service agreement (“CSA”) framework is an example of a reasonable and workable utility framework for interconnecting large loads that also appropriately protects the utility and ratepayers from actual risks posed by large loads.²⁴ As described by AES in its initial comments in the above-captioned proceeding, the CSA framework is intended to mitigate the potential risk

²¹ See *Coalition of MISO Transmission Customers v. Midcontinent Indep. Sys. Operator, Inc.*, 172 FERC ¶ 61,099, at P 82 (2020) (The Commission’s “cost causation principle requires that ‘all approved rates reflect to some degree the costs actually caused by the customer [that] must pay them.’”) (citing *KN Energy, Inc. v. FERC*, 968 F.2d 1295, 1300 (D.C. Cir. 1992)); *Old Dominion Elec. Coop. v. FERC*, 898 F.3d 1254, 1255 (D.C. Cir. 2018) (“For decades, the Commission and the courts have understood this requirement to incorporate a ‘cost-causation principle’—the rates charged for electricity should reflect the costs of providing it. . . . We often frame this principle as one that ensures ‘burden is matched with benefit,’ so that FERC ‘generally may not single out a party for the full cost of a project, or even most of it, when the benefits of the project are diffuse.’”) (citations omitted).

²² See *Mirant Kendall, LLC & Mirant Americas Energy Mktg., L.P.*, 110 FERC ¶ 61,272, at P 17 (2005) (a penalty must be “narrowly designed to balance the need to deter conduct that is harmful to the system with the need to limit excessive and unnecessary costs.”); *Midwest Indep. Transmission Sys. Operator, Inc.*, 125 FERC ¶ 61,060, at P 100 (2008) (a penalty must be “tailored to deter deficiencies without being excessive.”); *R&W Technical Services Ltd. v. Commodity Futures Trading Com’n*, 205 F.3d 165, 177-78 (5th Cir. 2000) (explaining that a “sanction must be rationally related to the offense” and a “penalty may be determined by focusing on the ‘relative gravity of . . . misconduct’” and that “[f]urthermore, ‘[t]he level of sanctions should reflect the particular mitigating or aggravating circumstances presented by the unique facts of the individual conduct at issue.’”).

²³ *Balancing Risk and Growth: Best Practices for Utility Credit and Collateral Requirements for Large Load Customers*, Energy + Environmental Economics (July 2025), available at: <https://www.ethree.com/data-center-credit-collateral-whitepaper/>.

²⁴ See Comments of The AES Corporation, Docket No. RM26-4-000, at 6, 10-11 (Nov. 21, 2025).

“that a large load customer [takes] less service than requested, resulting in the construction of grid upgrades that are no longer used and useful (due to the customer either lowering their demand or abandoning the project).”²⁵ To address this risk, AES’s utilities require large load customers to execute CSAs as conditions for interconnecting, which “require large load customers to be responsible for the costs incurred if the large load abandons their project.”²⁶ Further, if a CSA is terminated, “the large load customer will reimburse the utility for the development and construction costs it incurred for the transmission and distribution facilities necessary for interconnection (minus any salvage value) up to a cap that includes a contingency.”²⁷ AES’s CSA requirement offers a just and reasonable framework that ensures that large load customers are responsible for costs actually incurred by the transmission owner in the event that a project is abandoned, and which would otherwise be passed onto other ratepayers, while not erecting unduly burdensome barriers to entry that would prevent a non-speculative large load project from being developed.

On the other hand, iMasons notes that the Transmission Security Agreement (“TSA”) “revenue guarantee” framework that has been proposed by at least two Exelon utilities²⁸ does not follow best practices for interconnecting large loads, is generally prohibitive and goes far beyond protecting the utility and ratepayers from actual risks posed by large loads. The TSA framework, which was recently proposed to the Commission in a TSA between PECO and Amazon, does not

²⁵ See *id.* at 10 (emphasis added).

²⁶ *Id.* (emphasis added).

²⁷ See *id.* at 10-11 (emphasis added).

²⁸ See *PECO Energy Co.*, Transmission Security Agreement between PECO and Amazon, Docket No. ER25-3492-000 (filed Sept. 23, 2025) (the “PECO-Amazon TSA”) (accepted by the Commission in *PECO Energy Co.* 193 FERC ¶ 61,148 (2025) (“PECO-Amazon TSA Order”)); *Commonwealth Edison Company*, Filing proposing changes to new service requests for large demand project applications or customers, Docket No. 25-0677 (Ill. Comm. Comm’n June 23, 2025), available at: <https://www.icc.illinois.gov/docket/P2025-0677/documents/368012/files/644808.pdf>; *Commonwealth Edison Company*, Filing proposing revisions to Rider Distributed System Extensions, Docket No. 25-0679 (Ill. Comm. Comm’n June 23, 2025), available at: <https://www.icc.illinois.gov/docket/P2025-0679/documents/368013/files/644809.pdf>.

require a large load customer to compensate a utility for costs that it actually incurs in the event that a project is abandoned, or if a proposed load ramp does not materialize. Instead, it requires the customer to guarantee 80% of the utility's estimated transmission revenue requirement over a multi-year period.²⁹ Exelon's TSA construct would thus require a large load customer to, *inter alia*, provide "up front credit support to secure its obligations and performance under the TSA . . . equal [to] tens or hundreds of millions of dollars,"³⁰ even if the actual costs incurred by an Exelon utility due to a large load customer's withdrawal, or reduction to its load ramp, were *de minimis*.

Further, the TSA construct, and any similar "revenue guarantee" proposals that may be proposed by other transmission owners, would clearly run afoul of the Commission's cost causation principal, which requires "that 'all approved rates reflect to some degree the costs actually caused by the customer [that] must pay them.'"³¹ Accordingly, if the TSA construct, or similar revenue guarantee construct, were to be widely permitted by the Commission, it is likely

²⁹ See, e.g., PECO-Amazon TSA Order at P 8 (explaining that the large load customer was required to "make a payment to PECO reflecting a minimum contribution to PECO's transmission revenue requirement (Committed Revenue Contribution)" and that "[p]ursuant to the Transmission Security Agreement, the Committed Revenue Contribution is calculated as . . . 'The 'Committed Revenue Contribution' in each year is calculated using 80% of the sum that would be paid by a Load Serving Entity (as such term is defined in the [PJM] OATT[']) serving an end-use customer with 80% of the monthly loads and billing determinants shown for each power on the Load and Phasing Schedule using the [PJM] OATT or any successor tariff and the transmission rates therein in force for service rendered during that year.'" (citations omitted); *id.* at P 9 (noting that "PECO states that on an annual basis following the Data Center's commercial operation date and continuing each calendar year thereafter until the expiration of the Transmission Security Agreement's term, PECO shall determine whether the sums required to be paid by Amazon or the LSE serving Amazon (Actual Revenue Contribution) equal or exceed the Committed Revenue Contribution for that calendar year. If it does not, PECO states that the Transmission Security Agreement provides that a 'Customer Shortfall Event' is deemed to have occurred for that calendar year and, in addition to the transmission charges billed to Amazon or its LSE for its actual usage, Amazon shall pay PECO an amount equal to the difference between Actual Revenue Contribution and the Committed Revenue Contribution, subject to a customer shortfall event liability cap.").

³⁰ See Comments of Monarch Energy Development LLC, Docket No. ER25-3492-000, at 6 (Oct. 14, 2025).

³¹ *Coalition of MISO Transmission Customers v. Midcontinent Indep. Sys. Operator, Inc.*, 172 FERC ¶ 61,099; see also *Old Dominion Elec. Coop. v. FERC*, 898 F.3d at 1255 ("For decades, the Commission and the courts have understood this requirement to incorporate a 'cost-causation principle'—the rates charged for electricity should reflect the costs of providing it. . . . We often frame this principle as one that ensures 'burden is matched with benefit,' so that FERC 'generally may not single out a party for the full cost of a project, or even most of it, when the benefits of the project are diffuse.'" (citations omitted)).

that large numbers of non-speculative data centers being developed by well capitalized and creditworthy companies – particularly independent data center developers and operators – would be unable to meet the associated stringent and unreasonably high standards. This, in turn, would greatly stifle the data center market nationally, drive investment and development of data centers abroad, and result in adverse consequences for the country’s economic, national security and scientific interests. Accordingly, iMasons urges the Commission to clarify in any final rule that any standardized security, readiness deposit and withdrawal penalty provisions must be proportionate to the risks actually imposed by large load customers. Further, iMasons believes that any proposed TSA or “revenue guarantee” construct proposed by transmission owners should be strictly scrutinized by the Commission.³²

Relatedly, the Commission should not permit utilities to “claw back” capacity that has already been secured by a large load developer or hyperscale end-user. Other mechanisms, such as standardized study deposits, readiness requirements, and withdrawal penalties (as proposed by the ANOPR), should be favored to deter speculative projects and protect utilities and ratepayers from actual risks posed by large load customers.

ii. The Commission Should Encourage Hybrid Facilities

iMasons supports studying hybrid facilities together with generating facilities to the greatest extent practical,³³ and studying hybrid facilities based on their requested amount of

³² While iMasons acknowledges that the Commission recently accepted the proposed PECO-Amazon TSA, it did so narrowly and only because the PECO-Amazon TSA met the *Mobile-Sierra* presumption. See PECO-Amazon TSA Order at PP 28-29. The Commission further clarified that its “acceptance of the [PECO-Amazon TSA] is based solely on the record before us and that the Transmission Security Agreement applies only to PECO and Amazon rather than embodying generally applicable rates, terms, and conditions.” See *id.* at P 30. Accordingly, the Commission’s acceptance of the PECO-Amazon TSA under the narrow facts and circumstances present in that single proceeding, which was issued only after finding that the *Mobile-Sierra* presumption applied, should not preclude the Commission from promulgating a final rule with the conditions requested by iMasons herein.

³³ See ANOPR at P 20.

injection and/or withdrawal rights.³⁴ Encouraging hybrid facilities will help solve “speed to power” issues for data centers, enhance reliability by encouraging data centers to bring their own generation when they interconnect³⁵ and can alleviate the need for building excess network upgrades, which will benefit consumers.³⁶ iMasons supports frameworks encouraging hybrid facilities such as Southwest Power Pool, Inc. (“SPP”)’s High Impact Large Load Generation Assessment (“HILLGA”) proposal that is pending before the Commission³⁷ and SPP’s anticipated, voluntary Conditional High Impact Large Load Service proposal.³⁸

Moreover, while iMasons believes that technology neutral, “bring your own generation” frameworks should be encouraged, but not mandated, any final rule should ensure that such

³⁴ See *id.* at P 22.

³⁵ See Comments of Electricity Customer Alliance at 7 (“[L]everaging opportunities for these quickly emerging large loads to utilize flexible arrangements to secure and pay for their own power supply—such as the hybrid (sometimes called ‘co-location’) arrangements described by the Secretary in the ANOPR, ‘bring your own power’ models, utilization of behind the meter generation and microgrids, and the like—is also essential to addressing threats to customer affordability and ensuring that private investors, not captive ratepayers, take on the costs and risks of rapid large load growth.”); Comments of ENGIE North America, Inc., Docket No. RM26-4-000, at 14 (Nov. 21, 2025) (“ENGIE Comments”) (“Large loads that bring their own generation and/or storage are likely to have fewer and less costly needed upgrades, a lower impact on the bulk energy system, and a more rapid interconnection process because the net additional burden to the bulk energy system is likely to be less significant.”); Comments of Microsoft, Inc., Docket No. RM26-4-000, at 8 (Nov. 21, 2025) (“Microsoft Comments”) (“[T]he ANOPR proposes that siting a large ‘baseload’ load near or at the same point of interconnection as a new generating facility (one possible form of bring-your-own generation or ‘BYOG’) could reduce the number and scope of network upgrades necessary for both the load and generator interconnections. Microsoft believes studying load and generation together has the potential to speed up the interconnection process for load and generation by eliminating duplicative, and potentially conflicting, studies and will facilitate more efficient grid planning by more closely aligning generation capacity needs with large loads.”).

³⁶ See Vantage Comments at 6-7 (“Proposed ANOPR Principles 3 and 5 describe substantial benefits for hybrid facilities, grid reliability, and utility customer affordability from performance of an integrated study for both the load and generation components. . . .”); Comments of Electricity Customer Alliance at 7 (“Facilitating the ability of these new large customers to pay for their own growth via flexible arrangements in the short-term also serves to protect customers by increasing the capacity available to the entire system and avoiding the need to dedicate existing capacity to new loads, putting downward pressure on capacity prices and energy prices. In the longer-term, large load growth provides a key opportunity to spread the growing fixed costs of the power system over more users, providing further benefits to all customers.”).

³⁷ See *Southwest Power Pool, Inc.*, Submission of Tariff Revisions to Add the High Impact Large Load Processes and High Impact Large Load Generation Assessment, Docket No. ER26-247-000 (Oct. 24, 2025) (“HILLGA Proposal”).

³⁸ See *Southwest Power Pool, Inc.*, RR720 Conditional High Impact Large Load Revision Request (Sep. 15, 2025), available at: <https://spp.org/Documents/74783/RR720.zip>.

frameworks do not unduly disrupt established generation interconnection queues.³⁹ While generation built specifically for data centers can help meet their near-term power needs and provide broader benefits to the transmission system and ratepayers, in many instances, data centers will choose to rely solely on grid power and in all but relatively few cases, data centers will continue to require power from the grid in order to be operated reliably over the long term. Accordingly, while “bring your own generation” frameworks should be encouraged (*e.g.*, by accelerating the interconnection of data centers that bring their own generation with them), at the same time, any final rule should not unduly disrupt or disadvantage existing generator interconnection queues, which will continue to provide the “backbone” generation via the transmission system that large load customers, including data centers, will continue to choose and rely upon.

iii. *The Commission Should Accelerate the Interconnection of Curtailable and Dispatchable Loads*

iMasons supports a final rule that accelerates the interconnection of large loads that voluntarily agree to be curtailable and dispatchable (*i.e.*, flexible),⁴⁰ provided that existing interconnection queues are not unduly and unjustly disrupted. Accelerating the interconnection of large, flexible loads helps solve the “speed to power” issue that data centers face, and as noted by a wide range of commenters, flexible loads offer significant benefits to transmission providers, transmission owners and customers. These potential benefits include, *inter alia*: (1) faster interconnection times for large loads, (2) avoided or deferred transmission investments and

³⁹ See PG&E Comments at 22; Comments of the Edison Electric Institute, Docket No. RM26-4-000, at 7-8 (Nov. 21, 2025) (“EEI Comments”); ENGIE Comments at 15.

⁴⁰ See ANOPR at P 24.

(3) avoided generation capacity investments, and/or near-term reliability and affordability for all customers as supply catches up with rising demand.⁴¹

iv. *Large Loads Should Only Be Assigned the Costs that They Cause*

iMasons takes no position on whether a final rule should mandate that 100% of network upgrade costs be directly assigned to large load customers⁴² or rolled into existing rate structures.⁴³ iMasons notes that parties supported both types of approaches, among others, in their initial comments. That said, iMasons encourages the Commission to promulgate a final rule that would require large load customers to be allocated only costs that they cause, consistent with the Commission's longstanding cost causation principles.⁴⁴ Whatever approach, or approaches, are used to allocate network upgrade costs to large load customers, the Commission's goal should be to ensure that large load customers are allocated their fair share of costs, that consumers are not subject to unfair costs, and that transmission owners and other customer classes are not unjustly enriched.

⁴¹ See, e.g., Miles Farmer, et al., *How DOE's Proposed Large Load Interconnection Process Could Unlock the Benefits of Load Flexibility – Considerations for Rulemaking*, Duke – Nicholas Institute for Energy, Environment & Sustainability (2025), available at: <https://nicholasinstitute.duke.edu/sites/default/files/publications/how-does-proposed-large-load-interconnection-process-could-unlock-benefits-load-flexibility.pdf>; see also *Comments of the Thermal Battery Alliance*, Docket No. RM26-4-000, at 2 (Nov. 21, 2025) (“Flexible, and particularly hyper-flexible loads such as new technologies like thermal energy storage (TES), represent a significant opportunity for enhancing market performance.”); *Comments of Enchanted Rock, LLC*, Docket No. RM26-4-000, at 4 (Nov. 21, 2025) (“Enchanted Rock Comments”); *Comments of Verrus*, Docket No. RM26-4-000, at 8-11 (Nov. 21, 2025) (“Verrus Comments”).

⁴² See ANOPR at P 25; see, e.g., *Comments of the Digital Power Network*, Docket No. RM26-4-000, at 4 (Nov. 20, 2025) (“Digital Power Network Comments”); *Comments of Buckeye Power, Inc.*, Docket No. RM26-4-000, at 2, 18-20 (Nov. 21, 2025); *Comments of Southwest Power Pool, Inc.*, Docket No. RM26-4-000, at 14-15 (Nov. 21, 2025).

⁴³ See, e.g., *Comments of FirstEnergy Service Company*, Docket No. RM26-4-000, at 6 (Nov. 21, 2025); EEI *Comments* at 8-9; *Comments of Duke Energy Corporation*, Docket No. RM26-4-000, 22-23 (Nov. 21, 2025).

⁴⁴ See *Coalition of MISO Transmission Customers v. Midcontinent Indep. Sys. Operator, Inc.*, 172 FERC ¶ 61,099 at P 82 (The Commission's “cost causation principle requires that ‘all approved rates reflect to some degree the costs actually caused by the customer [that] must pay them.’”) (citation omitted); *Old Dominion Elec. Coop. v. FERC*, 898 F.3d at 1255 (“For decades, the Commission and the courts have understood this requirement to incorporate a ‘cost-causation principle’—the rates charged for electricity should reflect the costs of providing it. . . . We often frame this principle as one that ensures ‘burden is matched with benefit,’ so that FERC ‘generally may not single out a party for the full cost of a project, or even most of it, when the benefits of the project are diffuse.’”) (citations omitted).

Moreover, iMasons supports proposals that offer expedited treatment or other benefits for large loads, including flexible large loads, that can reduce the need for network upgrades.⁴⁵

v. *The Commission Should Establish a Clear Transition Mechanism to Avoid Disrupting Large Load Projects Already in Development*

iMasons supports a final rule that establishes a clear transition mechanism,⁴⁶ and is effective on a prospective basis only, so that any existing large load projects already in development are not disrupted. Further, iMasons recommends that any large load developers that have incurred substantial costs and/or entered into binding agreements related to the procurement of equipment (including long-lead items) have the option of being grandfathered into any existing processes to avoid their projects' development being delayed. Moreover, in the event that the Commission adopts, as part of a final rule, any *pro forma* tariff provisions, iMasons requests that the Commission allow transmission owners and transmission providers to apply for an independent entity variation⁴⁷ to the extent necessary to provide for a smooth transition to the potential new rules, and to mitigate any disruptions to large load projects that are under development.

⁴⁵ See, e.g., Verrus Comments at 8-11.

⁴⁶ See ANOPR at P 30; see also, e.g., Vantage Comments at 11-12 ("It is imperative that projects with existing interconnection agreements are permitted to move forward under their current frameworks and grandfathered from any reform that is put in place unless they voluntarily opt in to a new, Commission-approved tariff interconnection program that appropriately implements the guiding principles of the proposed ANOPR.").

⁴⁷ The independent entity variation standard provides that "the Commission will review the proposed variations [from *pro forma* agreements] to ensure that they do not provide an unwarranted opportunity for undue discrimination or produce an interconnection process that is unjust and unreasonable." See *PJM Interconnection, L.L.C.*, 108 FERC ¶ 61,025, at P 7 (2004); see also *Cal. Indep. Sys. Operator Corp.*, 121 FERC ¶ 61,177, at P 13 (2007). Additionally, Commission precedent indicates that requests for independent entity variations from a broadly applicable rule will be evaluated to determine if they "accomplish the purposes" of that rule. See *Sw. Power Pool, Inc.*, 128 FERC ¶ 61,114, at P 98 (2009).

vi. *The Commission Should Work with the North American Electric Reliability Corporation (“NERC”) and Transmission Providers to Require Clear and Consistent Technical Requirements for Interconnecting Large Loads*

iMasons supports the Commission working to promulgate clear and consistent technical standards for interconnecting large loads to the transmission system.⁴⁸ It is critically important to assess the reliability impacts of large loads on the bulk electric system. However, a key challenge for developers of large data centers, particularly those supporting AI applications, is the lack of clarity and predictability in the technical interconnection requirements for large loads. This uncertainty not only can result in significant project delays, but also threatens to undermine the reliability of the bulk electric system if inconsistent technical standards are applied region-to-region. Accordingly, iMasons urges the Commission to work with NERC and transmission providers to expedite the development of clear and consistent technical standards that will govern the interconnection of large loads nationally.

vii. *The Commission Should Consider a Higher Minimum Threshold for Large Load Interconnection Reforms*

While the ANOPR proposes that any large load interconnection reforms should apply to “new loads greater than 20 MW,”⁴⁹ iMasons believes that a higher minimum threshold is appropriate. Given that some data centers are now hundreds of MWs (or over a GW) in size, the ANOPR’s proposed 20 MW threshold does not seem to accurately define “large loads” that its

⁴⁸ See, e.g., ANOPR at P 30; Comments of the California Independent System Operator Corporation on the Advanced Notice of Proposed Rulemaking, Docket No. RM26-4-000, at 17-18 (Nov. 21, 2025) (“NERC should consider developing specific modeling and performance reliability standards for large loads, similar to MOD, PRC, and BAL standards applicable to large generators. This will ensure consistent treatment across balancing authorities, remove regulatory uncertainty for developers and transmission providers, and thus further the timely and orderly interconnection of large loads.”); Enchanted Rock Comments at 5-6.

⁴⁹ See ANOPR at P 19.

proposed reforms are intended to address. Accordingly, iMasons believes that a minimum threshold of 75 MW (or potentially higher) is appropriate for the Commission to consider.⁵⁰

C. The Commission Should Continue to Explore Broader Reforms to Serve the Needs of Large Loads and Customers

iMasons supports the Commission continuing to explore broader reforms to meet the power needs of large loads and customers. Notably, iMasons supports:

- The Commission exploring further holistic reforms to transmission planning in order to support the generation buildout necessary to serve large load customers, and to do so in an efficient and cost-effective manner for customers;⁵¹
- A final rule that encourages the use of grid enhancing technologies to accelerate the interconnection of large loads;⁵²
- A final rule that supports integrated studies of load, generation and transmission;⁵³ and
- The development of distributed energy resources and virtual power purchase agreements to help serve large loads and accelerate their interconnection, including reducing barriers that stand in the way of fully implementing Order No. 2222.⁵⁴

⁵⁰ See Comments of Meta Platforms, Inc., Docket No. RM26-4-000, at 4 (Nov. 21, 2025).

⁵¹ See, e.g., Comments of the American Council on Renewable Energy, Docket No. RM26-4-000, at 6-7 (Nov. 21, 2025); Comments of Google LLC, Docket No. RM26-4-000, at 3-4 (Nov. 21, 2025); Comments of Americans for a Clean Energy Grid, Docket No. RM26-4-000, at 7 (Nov. 21, 2025).

⁵² See, e.g., Comments of the Working for Advanced Transmission Technologies and Advancing Modern Powerlines Coalitions, Docket No. RM26-4-000, at 2-3 (Nov. 21, 2025).

⁵³ Comments of Invenergy, Docket No. RM26-4-000, at 5 (Nov. 21, 2025); Microsoft Comments at 2, 8-9.

⁵⁴ See Comments of Tesla, Inc., Docket No. RM26-4-000, at 3-4 (Nov. 21, 2025); Comments of Rewiring America, Docket No. RM26-4-000, at 2-3 (Nov. 21, 2025).

III. CONCLUSION

iMasons respectfully requests that the Commission consider these Reply Comments and looks forward to working with all stakeholders as the Commission considers the ANOPR and other issues related to the interconnection of large loads.

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Dated: December 5, 2025

CERTIFICATE OF SERVICE

I hereby certify that I have this day caused the foregoing and its attachments to be served upon each person designated on the official service list compiled by the Secretary in the captioned proceeding.

Dated at Washington, D.C., this 5th day of December, 2025.

/s/ Steven Shparber